Robinhood Markets, Inc.

HOOD NASDAQ

Buy	$109.22 ▲ 0.18%	12M Price Target	52-Week Range	Market Cap
		$125.00	$63.52 – $150.47	$98.20B

HOOD: Crypto Rules & Rate Cuts Set Up Q3 Print

WHAT HAPPENED

- Pretty quiet tape — HOOD basically flat (+0.18%) with no news, no filings, no insider activity. The stock has drifted down about 2.5% over the past week from $112 to $109, which is a mild cooldown after a monster year (still sitting at 53% of its 52-week range with the high at $150).
- Options flow is the tell: put/call at 0.69 and unusual CALL buying on the Nov $109 strike (514 contracts, 2x open interest) — somebody's betting this doesn't stay quiet into earnings.

WHY IT MATTERS

Here's what the quiet action probably means: HOOD is consolidating after a huge run, and traders are waiting for the Q3 earnings catalyst (early November). The unusual call buying tells me smart money expects a move higher — likely tied to the SEC's increasingly crypto-friendly posture under the current administration and the ramp in prediction market volumes (election season = jet fuel for Robinhood's event contracts). Financials ETF is up 2.17% over 5 days while HOOD is DOWN — that divergence usually resolves one of two ways, and given the policy backdrop, I'd bet HOOD catches up rather than financials rolling over.

POLICY & POLITICAL WATCH

The big one: the SEC under current leadership has been dropping crypto enforcement cases and the market structure bill (FIT21-successor) is still working through Congress — if it passes, it gives Robinhood a clear legal framework to expand crypto products, which is pure margin. Second, the CFTC has quietly let prediction markets (Kalshi, Robinhood's event contracts) operate — any formal green light here opens a multi-billion dollar category where HOOD is already live. Watch-item: if the Fed delivers another rate cut this fall, HOOD's net interest income (the money they earn on customer cash) takes a small hit, but that's usually offset by trading volumes exploding when rates fall.

IS IT EXPENSIVE?

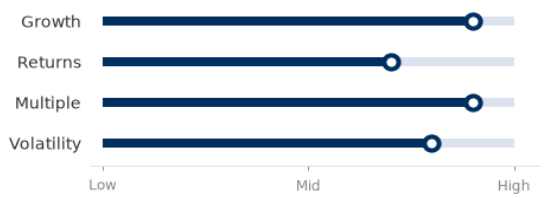
At ~$98B market cap and roughly 20x forward sales (investors paying $20 for every $1 of revenue), HOOD is NOT cheap — it's priced like a growth story that keeps delivering. But forward P/E around 56x (paying $56 for every $1 of annual profit) is actually reasonable IF they hit the earnings ramp from crypto, Gold subscriptions ($5/month recurring), and prediction markets. The valuation is justified only if the policy tailwinds I mentioned actually convert — if crypto rules get murky again, this multiple compresses fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$109.22**
12M Price Target	**$125.00**
Upside / (Downside)	**+14.4%**
Market Cap	**$98.20B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.70**
Fwd P/E	**56.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$125.00**	$112.00	**$98.00**
6 Months	**$150.00**	$125.00	**$90.00**
1 Year	**$180.00**	$135.00	**$80.00**
2 Years	**$240.00**	$165.00	**$70.00**
5 Years	**$350.00**	$220.00	**$60.00**
10 Years	**$500.00**	$300.00	**$50.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4% week) on Middle East tensions and OPEC discipline; Staples and Real Estate rallying because the market is pricing in more Fed cuts (lower rates = better for dividend-paying defensives).

COOLING OFF: Comm Services flat-to-down — AI mega-cap fatigue setting in; capital rotating out of what worked all year.

ROTATION WATCH: Money is moving from pure growth into rate-sensitive and defensive names on cut expectations. That's a mild headwind for HOOD short-term, but a tailwind medium-term because lower rates = more retail speculation = more trading volume.

RELATED PLAY: If you like the Robinhood thesis, COIN (Coinbase) is the pure crypto play with the same regulatory tailwind, and CBOE benefits from the broader options/derivatives boom retail is driving.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-regulation-clarity wave; often leads HOOD by a few days on crypto news.
- IBKR (Interactive Brokers): Benefiting from the same retail trading surge but with a more institutional/international mix — less volatile way to play the theme.

HOOD CONTEXT: HOOD has been a leader in this group all year but is lagging slightly this week — that's typical consolidation after a 100%+ YTD move. Not a red flag unless it breaks below $100 on volume.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Policy tailwinds and product momentum are real, but valuation leaves no room for a sloppy quarter.

POSITION SIZE: 2-4% — the upside case is big but this stock can drop 15% in a week, so size it where a bad day doesn't ruin your month.

ENTRY POINTS: $100-105 on broad market down days; the stock tends to overshoot on fear. Don't chase above $115 pre-earnings.

TIME HORIZON: 12-24 months — the catalyst stack is Q3 earnings (November), crypto legislation (H1 2027), and continued prediction market expansion.

WHEN TO BAIL: Stock breaks $95 on heavy volume, or Q3 revenue misses by >8%, or any serious political shift against crypto/PFOF.

HEDGING: Simplest hedge — hold some cash so you can double down on a crash. If you want fancy: buy a put option (insurance that pays if the stock falls) at the $95 strike for a few months out — costs you a little premium but caps your downside.

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